Welcome to

MFIN7049
Money, Financial Institutions and Markets
Introduction

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The Instructor

Bio:

- Full Professor of Finance, FBE, HKU
- Previously, taught at HKUST, Imperial Colleague Business School, LSE
- Ph.D., London School of Economics (LSE)

Research:

- A theoretical economist
- Research area: Financial Economics (financial institutions and financial crises); Macroeconomics; Growth and Development
- Publishing in leading academic journals in economics and finance

Teaching:

- A dedicated teacher, **emphasizing training students' economic intuition and the way of thinking**
- Teaching in undergraduate, master, and PhD level courses

The purpose of the course

The feature of the course

- This is an advanced course on financial system
- The course aims to enable students to have a big-picture view and a deep understanding on how the financial system operates.

Why need to understand financial system

- A financial practitioner or researcher needs to have working knowledge on the operation of the financial system.
  - Financial investors and corporate managers make decisions within a large, interlinked, complex financial system.
  - This system includes many players with different preferences, many financial instruments with different payoff structures, many financial contracting designs with different rules.
- Understanding the operation of the financial system is also crucial for understanding some extreme events in financial markets (e.g., financial crises, market crashes)
  - Those extreme events, occurring within a very short investment period, are responsible for a large portion of the realized returns of financial market investments.

The structure of the course

Part 1: Institution

The first part of the course reviews institutional details and describes broad empirical regularities.

- Major players and their functions
- Financial markets and products
- Stylized facts and empirical evidence

Part 2: Theory

The second part is the main focus of the course. It discusses various fundamental economic theories to explain the operation of the financial system and the causes of the bubbles and crashes.

Part 3: History

The third part reviews some important events of bubbles and crashes in history.

The objective of the course

- To enable students to have a big-picture view on the financial system while being familiar with the institutional details of financial markets, financial institutions, and financial instruments.

- To provide students the historic perspective on the evolution of the financial system and the causes of major financial crises and market bubble and crashes.

- To equip students with theoretical frameworks to understand and explain complex phenomena in financial markets (knowledge – “fish”)

- To develop students’ ability to use rigorous analytic frameworks to look into economic activities and investment behaviors (way of thinking – “fishing”)

The assessment

1. Class participation (10%)

   Full attendance of the lectures and active participation of class discussions

2. Assignments (20%)
   - Individual work
   - Detailed instructions will be given in due course

3. Project and presentation (20%)
   - Group work (6 members)
   - Write a report and present in the last class

4. Final exam (50%)
   - Closed book
   - Detailed instructions will be given in due course

Textbooks and reading List

- **Required readings**
  1. *Economics of Money, Banking and Financial Markets* (12th Edition) by Frederic Mishkin
  2. Lecture notes
  3. Academic journal articles (to be distributed)

- **Recommending readings**
  1. *Fixed Income Markets and Their Derivatives* (3rd Edition), by Suresh Sundaresan
  2. *Options, Futures, and Other Derivatives* (10th Edition), by John C. Hull
  3. *Financial Markets and Institutions* (Global Edition 8th Edition), by Frederic S Mishkin and Stanley Eakins
  4. *The Courage to Act: A Memoir of a Crisis and Its Aftermath*, by Ben S. Bernanke
  5. *This Time Is Different: Eight Centuries of Financial Folly*, by Carmen M. Reinhart and Kenneth S. Rogoff

Who should attend the course

For whom the course is most suitable

- Strong quantitative background with good economic intuition
- Intellectual curiosity, intending to understand the basic philosophy/principle behind the practice

Who should attend the course

My course

Who should attend the course

Some other courses